percent of what they would normally make, yet the program works as a new and different form of advertising promotion.

Sometimes, it can work too well. In March of 2010, East Coast Aero Club, a flight school in Bedford, Massachusetts, offered introductory helicopter flying lessons, normally priced at $225, for only $69. The deal had to be shut down at 11:00 a.m., after 2,500 subscribers signed up. The club had expected maybe two *hundred* customers.

More than two hundred Groupon copycat sites have sprung up in the United States, with sites like Living Social.com becoming its closest rival. Launching in July 2009, LivingSocial has been giving Groupon a run for their money ever since Amazon jumped on board in December of 2010 with an investment of 175 million dollars. A January 19, 2011, offer of a $20 Amazon gift card for ten dollars didn't hurt either, netting over 1.3 million sales in twenty-four hours, with a total take of over thirteen million dollars in gross sales. In comparison, Groupon's August 2010 offer of a $50 Gap card for $25 reportedly sold 441,000 coupons and generated eleven million dollars in sales. The premise of these sites is the same: Share the deals, and in some cases increase the savings in proportion to the additional number of people taking advantage of the deals. An incentive for sharing the deals might be as enticing as a five- or ten-dollar credit when a friend joins through a referral link. In the future, websites such as Groupon and LivingSocial will likely offer a more personalized service. Groupon's founder, Andrew Mason is already developing what he calls Groupon 2.0, a second phase of social commerce, a hyper-local connection of knowing